



United States
Attorney's Office
Eastern District of Virginia



Chesapeake hospital indicted for healthcare fraud involving unnecessary surgical procedures

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For Immediate Release

U.S. Attorney's Office, Eastern District of Virginia

NORFOLK, Va. – A federal grand jury returned an indictment today charging Chesapeake Regional Medical Center (CRMC) with healthcare fraud and conspiracy to defraud the United States and interference with government functions.

As alleged in the indictment, CRMC, formerly known as Chesapeake Regional Hospital, granted privileges to Javaid Perwaiz from 1984 until his arrest in 2019, despite knowing that Perwaiz' privileges had been terminated at another hospital for performing unnecessary surgeries and that he was convicted of two federal felonies in 1996. From 2010 to 2019, CRMC allegedly received approximately \$18.5 million in reimbursements from health care benefit programs for surgical and obstetric procedures Perwaiz performed at the facility.

"After Dr. Perwaiz was convicted of performing irreversible hysterectomies and other medically unnecessary surgeries on women, we continued to investigate the role that CRMC played," said Jessica D. Aber, U.S. Attorney for the Eastern District of Virginia. "As alleged in the indictment, Dr. Perwaiz did not act alone in this conspiracy to needlessly sterilize and otherwise harm women. The Grand Jury found today that CRMC was complicit in this horrifying scheme to place profits over patient care."

Beginning at least as early as January 2010 and continuing until November 2019, CRMC, Perwaiz, and others allegedly conspired to defraud the Centers for Medicare and Medicaid Services, Medicare, Medicaid, the Virginia Department of Medical Assistance Services, and TRICARE. CRMC and Perwaiz allegedly agreed to Perwaiz continually performing surgeries and other procedures at CRMC that were in violation of the rules and regulations of the healthcare benefit programs. CRMC also allegedly defrauded Medicare, Medicaid, TRICARE, Anthem, Optima, Humana, Cigna, Aetna, United, and others to obtain reimbursements for obstetric deliveries that were elective inductions for no medical reason.

before 39 weeks of gestation, contrary to medical necessity and the standard of care. CRMC allegedly submitted such reimbursements itself, and aided and abetted Perwaiz to do the same.

"These latest charges are the next step toward justice for the women that were significantly impacted by Perwaiz' predatory actions, as well as the negligence of Chesapeake Regional Medical Center," said Brian Dugan, Special Agent in Charge of the FBI's Norfolk Field Office. "The hospital's prioritization of profits jeopardized the safety of many of their patients, many whom had full trust in them to provide reliable medical care. The FBI and our partners will continue to hold all parties responsible who abuse positions of power in such a manner, and that's what today's charges reflect."

As alleged in the indictment, Perwaiz exclusively performed his obstetric deliveries at CRMC and routinely scheduled them as elective inductions on Saturdays, a day when he was already scheduled to be at CRMC to perform surgeries. To schedule such deliveries, Perwaiz allegedly submitted to CRMC obstetric flowsheets that often had two different delivery dates clearly noted. One due date was accurate and within the standard of care, while the other was fabricated later by Perwaiz to appear that the patient was actually at or after 39 weeks of gestation at the time of induction or cesarean section, when she was not. A review of such forms for Medicaid patients in 2019 allegedly revealed that approximately 64% of forms were altered, resulting in about 39% of his patients of CRMC being induced before 39 weeks of gestation for no medical reason. CRMC employees and practitioners allegedly observed or were made aware of such discrepancies, but nonetheless allowed Perwaiz to continue these practices and continued billing for them.

"As alleged in today's indictment, CRMC knowingly disregarded patient care and allowed Dr. Perwaiz's unnecessary surgeries, in order to increase its own revenue," said Maureen Dixon, Special Agent in Charge for the U.S. Department of Health and Human Services, Office of Inspector General (HHS-OIG). "HHS-OIG and our law enforcement partners are committed to investigating allegations of patient harm and theft from federal health insurance programs."

The indictment alleges CRMC knew that Perwaiz routinely and knowingly misclassified inpatient only surgeries as outpatient procedures but allowed him to continue performing these surgeries. CRMC also allegedly knew that certain health care benefit programs would not reimburse a hospital for an inpatient procedure performed on an outpatient basis, that the majority of private health care benefit programs reimbursed such procedures at a significantly lower rate, and that inpatient surgeries required an increased level of scrutiny.

"Ensuring the full measure of justice is brought to all those complicit in the heinous acts committed by Dr. Perwaiz is of the highest priority," said Special Agent in Charge Christopher W. Dillard of the Defense Criminal Investigative Service, the law enforcement arm of the DoD's Office of Inspector General. "Today's announcement demonstrates our commitment to work with our partner agencies to pursue individuals and corporations for fraudulent actions, particularly those that involve patient harm."

CRMC allegedly routinely allowed Perwaiz to deviate from scheduling policies for non-emergent surgical cases. Perwaiz often scheduled his Saturday surgeries on late Friday afternoons. Perwaiz repeatedly

performed sterilizations on Medicaid patients at CRMC without valid consent forms, and CRMC allegedly knowingly allowed him to continue to do so.

The indictment alleges that Perwaiz was a solo practitioner who applied to CRMC for privileges in September 1983. While his application was pending, in December 1983, CRMC's President, who remained the President/Chief Executive Officer (CEO) until 2005, was notified by Maryview Hospital in Portsmouth that Perwaiz's privileges at Maryview had been terminated earlier that year for performing unnecessary surgeries. After review of Perwaiz's application, it is alleged that CRMC's Department of Surgery initially declared him unacceptable for appointment, but nonetheless granted him privileges in April 1984.

The indictment further alleges that Perwaiz continued to conduct office visits, in-office diagnostic procedures, inpatient and outpatient surgical procedures, and obstetric deliveries at CRMC until his arrest on Nov. 8, 2019. Perwaiz also allegedly performed all his obstetric deliveries and inpatient surgeries, including hysterectomies, and other surgeries and procedures, at CRMC. The vast majority of these procedures allegedly took place on Saturdays when he had a reserved surgical block time at CRMC.

In 1995, Perwaiz was indicted on six counts of felony tax fraud in federal court. He pled guilty to two of the counts, and admitted in public filings to extensive fraudulent conduct, including, among other things, falsely claiming a Ferrari luxury sports car as an ultrasound machine so that he could write it off as a business expense.

In November 2020, [Perwaiz was convicted](#) of 52 counts of health care fraud and false statements in health care matters and [was sentenced to 59 years in prison](#). Approximately 38 counts of the convictions were for procedures performed at CRMC, including unnecessary hysterectomies and other invasive and irreversible surgeries, elective inductions prior to 39 weeks of gestation without medical justification, and sterilizations of Medicaid patients without consent forms signed 30 days in advance.

The indictment alleges that CRMC periodically reviewed the credentials of practicing physicians, including Perwaiz, every two years. Perwaiz's re-credentialing packet allegedly contained information regarding his felony conviction, his prior hospital suspension, and notes regarding medical malpractice lawsuits resulting from procedures he performed at CRMC. It is alleged that CRMC continually re-credentialled Perwaiz approximately every two years between 1984 and 2019. Perwaiz was last re-credentialled in June 2019, just five months before his arrest.

Assistant U.S. Attorneys Rebecca Gantt and Elizabeth M. Yusi are prosecuting the case.

Anyone who believes they may be a victim in this case or who has information regarding this matter is urged to contact the HHS-OIG tipline at 1-800-HHS-TIPS /1-800-447-8477 or online at tips.oig.hhs.gov.

A copy of this press release is located on the website of the [U.S. Attorney's Office](#) for the Eastern District of Virginia. Related court documents and information are located on the website of the [District Court](#) for the Eastern District of Virginia or on [PACER](#) by searching for Case No. 2:25-cr-1.

An indictment is merely an accusation. Defendants are presumed innocent until proven guilty.

Contact

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Topic

HEALTHCARE FRAUD

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PRESS RELEASE

U.S. Attorney’s Office announces charges against three defendants in the Eastern District of Virginia as part of national health care fraud takedown

The U.S. Attorney’s Office for the Eastern District of Virginia announced charges against three defendants as part of the Department of Justice’s 2026 National Health Care Fraud Takedown.

June 23, 2026

PRESS RELEASE

Victim Advisory- Divine Youth Case Updates

In January and February 2026, charges were filed against four defendants who allegedly operated a scheme to defraud Medicaid through a mental health agency known as Divine Youth Counseling, LLC.

March 11, 2026

PRESS RELEASE

Federal jury convicts North Chesterfield man for billing Medicaid for services he did not provide

A federal jury convicted George Nathaniel Boykins, 43, of North Chesterfield, today on charges of health care fraud and aggravated identity theft.

December 15, 2025



Eastern District of Virginia

Justin W. Williams United States Attorney's

